

TENCENT HOLDINGS LTD TCEHY

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by

Trajan

			2026	2027
Price:	435.00	EPS	34.5	37.9
Shares Out. (in M):	9,244	P/E	12.6	11.5
Market Cap (in \$M):	512,901	P/FCF	17.7	13.9
Net Debt (in \$M):	-2	EBIT	40,036	43,991
TEV (in \$M):	512,898	TEV/EBIT	12.8	11.7

Description

Tencent ("**Company**"), with a market capitalization of approximately USD500bn, is among the world's major players in Gaming, holds a dominant position in the Social Network and Advertising sectors in China, and shares leadership in digital financial services in its domestic market with Alipay.

The recent crash has created the conditions for an entry at a favorable price that offers a good margin of safety for the investor.

Business

Tencent operates a digital monopoly based on attention and traffic. The social ecosystem (WeChat/QQ), with over 1.4 billion active users, acts as a zero-acquisition-cost funnel. Through this "walled garden," the Company channels users toward its services, recording high margins with limited invested capital and operating through three main business units:

Value-Added Services ("**VAS**") is the primary cash generator. It extracts value through a domestic distribution monopoly in Gaming and a prominent international position, alongside subscription sales for Social Networks.

Tencent is a full-stack operator in Marketing/Digital Advertising, covering the entire digital advertising supply chain. Driven by the growth of Video Accounts and Mini Programs, this business unit operates according to performance advertising metrics.

The FinTech division operates as an asset-light distributor of financial services, collecting transactional take-rates and service fees in a duopoly regime.

The Cloud segment has completed a transition toward the supply of software services (PaaS/SaaS) and represents the core of the Artificial Intelligence infrastructure of the Company.

Competitive landscape

In Gaming, according to estimates, Tencent holds nearly a 50% market share. Globally, it competes with major Western and Asian studios (Sony, NetEase, Microsoft). Content creation is secured through controlling stakes in major studios such as Riot Games and Supercell and also qualified minority stakes in others (the most important being Epic Games).

In Marketing, ByteDance (Douyin) represents the main disruptive business, having redefined in a few years the advertising paradigm, by introducing passive algorithmic consumption.

WeChat Pay shares the duopoly of digital financial services in China with Alipay.

In the Cloud space, With government IaaS tenders effectively reserved for state-owned telecommunications giants—the National Team—and Huawei, to avoid a tough price war on basic infrastructure, Tencent shifted its cloud offering in favor of corporate software solutions (PaaS and SaaS) where it possesses an unquestionable advantage.

The Moat

Tencent's competitive advantage is deep and structural, supported by some fundamental pillars.

Network Effect: WeChat's ubiquity makes it a vital social and commercial network in China, generating an unmatched lock-in. Mini Programs have transformed the app into a real alternative operating system to iOS and Android, forcing developers and merchants to operate on Tencent's servers and transactional infrastructure. Furthermore, in Fintech, the evolution of a mass payment infrastructure into a B2B and B2C financial services platform represents a structural operating leverage engine. The interoperability of competing platforms mandated by the government has not damaged Tencent, highlighting that value does not reside in coercive traffic exclusivity, but rather in the transactional efficiency of integrated services. The evolution of the Moat has not consisted in the passive defense of the status quo, but in exploiting the opportunities brought by Mini Programs and Video Accounts.

In **Gaming**, Tencent is active throughout the entire value chain controlling the creation, publishing, and, above all, the distribution of titles in China, establishing itself as the key distributor in the Asian market and a mandatory gateway. Tencent has improved its Moat through the construction of a global network of partner studios and thanks to the introduction of continual monetization models. The strategic focus has shifted from mere quantitative dominance of the domestic market to international development capable of absorbing domestic regulatory shocks.

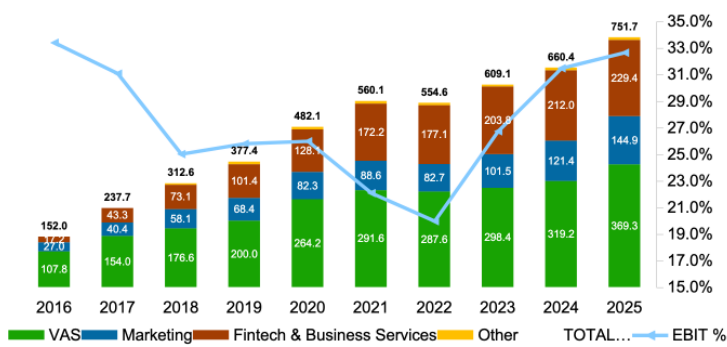
The rise of advanced conversational interfaces driven by large language models, such as ByteDance's Doubao, highlights a potential risk of disintermediation for the WeChat ecosystem. An AI agent capable of resolving complex intents and operating at the top of the transactional funnel could threaten to bypass the proprietary infrastructure of Mini Programs, potentially impairing WeChat. Tencent, via the Hunyuan model, does not aim to develop a generalist chatbot, but rather a system to be integrated into WeChat aimed at intercepting complex user intents and processing them in Mini Programs. Tencent can exploit a structural advantage difficult to replicate for external competitors: the "closed-loop" data monopoly. While third-party LLMs possess high text reasoning capabilities but lack full operational context, Tencent's native agent will be able to capitalize on WeChat's social graph and transactional history of WeChat

Pay, offering hyper-personalization not easily matchable by stand-alone platforms.

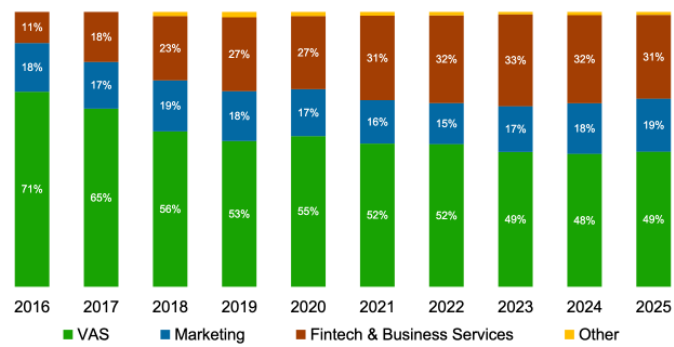
Financial performance

The Company has demonstrated exceptional resilience, overcoming regulatory shocks and adapting to the evolution of the Social Network framework.

Tencent: 2016-2025 revenue and EBIT% evolution

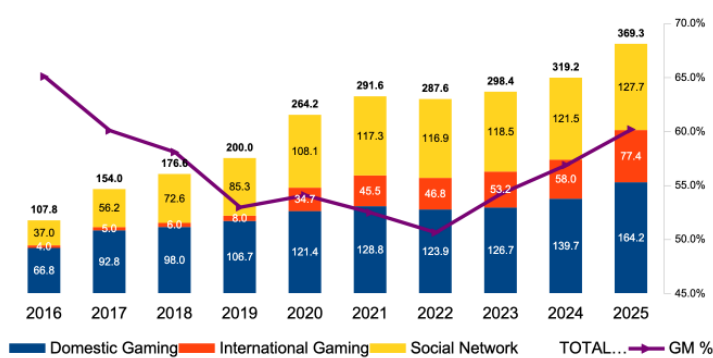


Tencent: 2016-2025 revenue composition

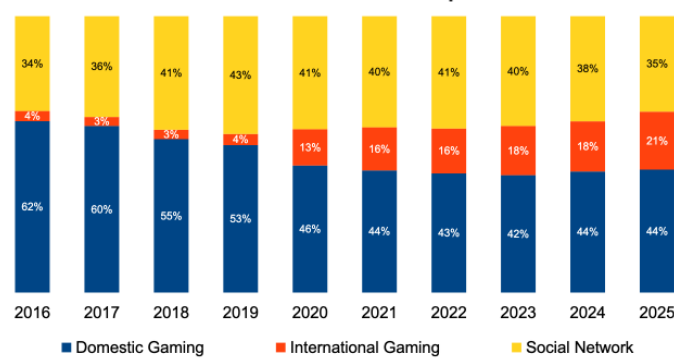


Gaming, which in 2016 represented almost half of consolidated revenues, has structurally stabilized, ceding relative weight to B2B services and the WeChat ecosystem. This normalization stems from a dual factor: the regulatory freeze on domestic licenses (started in 2018 and subsequently suffering further tightening in 2021) and the parallel explosion of digital payments and Mini Programs. International expansion has compensated for domestic saturation, with international games growing in a few years from 6-7% of Gaming revenues to over 30% today. The geographic rebalancing induces a re-pricing of the profitability profile of the VAS segment, having to operate on distribution ecosystems of third parties (Apple App Store, Google Play, console platforms) absorbing fixed commissions and sustaining user acquisition costs. The dilutive pressure on Gross Margin has however found operational balancing on the domestic market, where the migration of engagement toward the Mini-Game format within WeChat eliminates distribution costs, exploiting pre-existing proprietary transactional infrastructure.

VAS: 2016-2025 revenue and GM% evolution

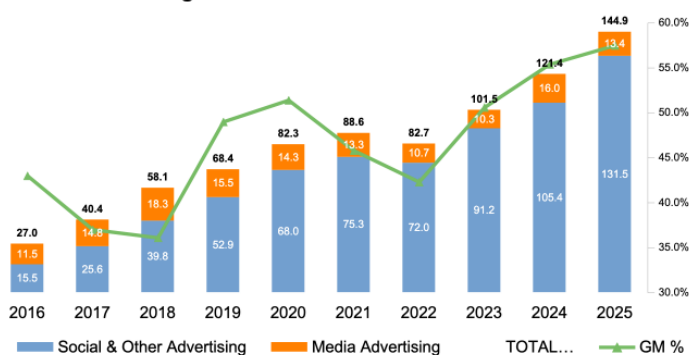


VAS: 2016-2025 revenue composition

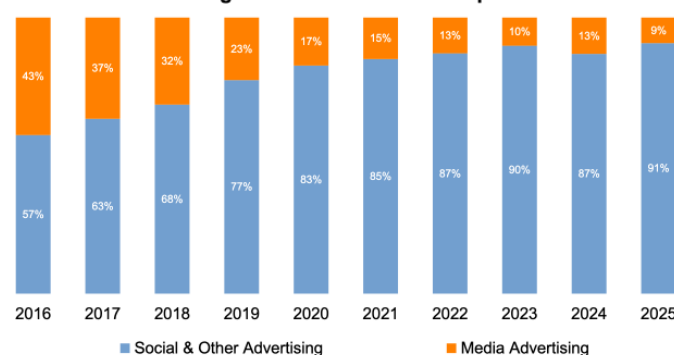


The Marketing segment has grown at double digits over the last 8 quarters and improved gross margin from the 35-40% range to the current 55% thanks to new formats (Video Accounts) with higher ad-loads and the generalized improvement of conversion rates.

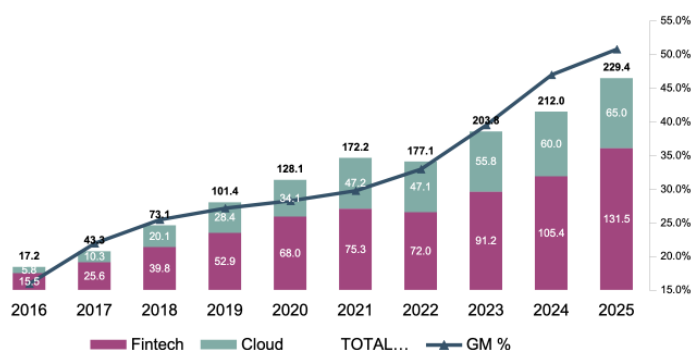
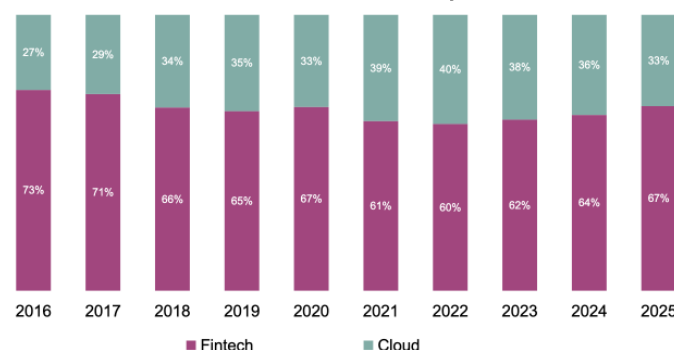
Marketing: 2016-2025 revenue and GM% evolution



Marketing: 2016-2025 revenue composition

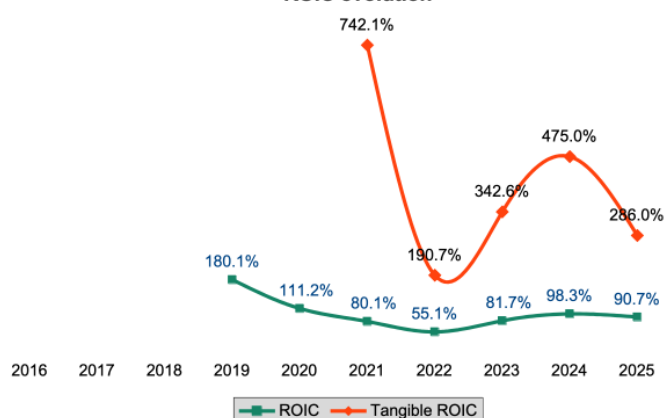
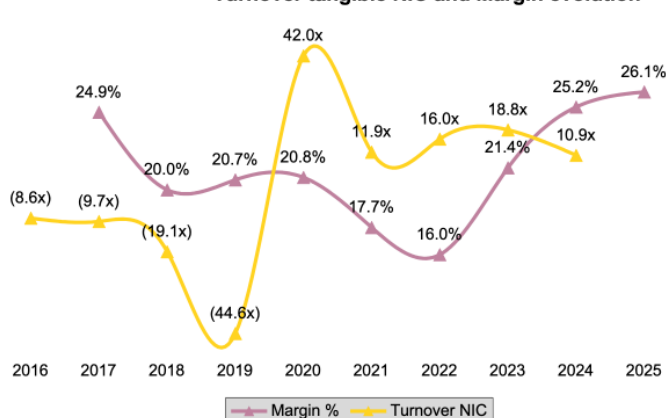


In Fintech & Business Services, the progression from 16% Gross Margin in 2016 to the current 50% represents the primary driver of group margin adjustment. Post-2022 margin growth was connected with the integration of higher value-added services (wealth management and microcredit) while the most recent improvement derives from the repositioning in the Cloud segment.

FBS: 2016-2025 revenue and GM% evolution

FBS: 2016-2025 revenue composition


The group cash conversion rate remains consistently above 100%.

The ROIC is close to 100% thanks to the extraordinary return generated by VAS, Marketing, and Fintech, partially attenuated by the Business Services segment which, in a Capex ramp-up phase, is absorbing cash. Working capital, thanks to the pre-paid nature of Gaming and FinTech, is structurally negative, allowing Free Cash Flow to entirely fund the ongoing infrastructure spending connected with the development of the AI offering.

ROIC evolution

Turnover tangible NIC and Margin evolution


Alignment of incentives and capital allocation

Founder and CEO Pony Ma holds about 8% of equity, and key executives, like the President and investment officer Martin Lau, maintain materially significant stakes.

The governance structure is clear: "one-share, one-vote", with no dual-class or asymmetric share classes. The presence of Prosus as a silent anchor investor (currently at 23%) ensures strategic independence of management from short-term pressures. Compensation plans (RSUs) provide for overlapping multi-year vesting.

Tencent effectively operates as one of the largest and most profitable Venture Capital funds in the world (with strategic stakes in Epic Games, Supercell, PDD). The strategy is rational: injecting capital, providing WeChat traffic through a commercial partnership, and obtaining transactional volumes within its ecosystem without imposing operational control.

Regarding capital allocation, in recent years, against the framework of falling stock prices and liquidations operated by Prosus aimed at narrowing the holding discount, management has channeled massive portions of its FCF toward intelligent and opportunistic buy-backs.

Protection of minorities is also demonstrated by the use of asymmetric in-kind dividends (as happened for JD.com and Meituan), allocating the shares directly to Tencent's shareholders.

Drivers of the price dislocation

According to my analyses, the collapse of almost 40% is attributable to several factors that emerged in the first half of 2026 that led institutional capital to liquidate positions:

- Return of regulatory risk. Rumors regarding a tightening of VAT on digital services worked as a psychological trigger, bringing Beijing's regulatory discretion back into focus.
- Revision of the internal capital allocation framework. Management initiated an aggressive expansion of AI Capex which will accelerate in the second half of 2026, potentially reducing the cash flow available for buy-back programs, which had balanced the selling pressure generated by Prosus. Uncertainties regarding AI spend's ROI constitute the fundamental catalyst for the decline. The market is pricing the "Capex Trap" linearly: massive capital expenditure combined with the absence of immediate ROI visibility translates into a loss of value.

- C. Rumor concerning the deceleration of momentum in Gaming which also weighed on peers like NetEase in the stock market.
- D. The weakness of Chinese consumer demand with consequent potential impact on advertising spending. The advertisers will find themselves forced to allocate reduced budgets directing them toward platforms capable of returning a measurable and superior ROI.

In summary, the combination of growing structural expenses for the technological platform and the potential contraction of operational cash flows in connection with the slowdown from historical business lines has triggered a dramatic valuation reset.

Recommendation

According to a long-term investment framework and assessing the strength of the Moat, there does not appear to be a threat capable of uprooting WeChat's relational and transactional infrastructure from Chinese daily life. The Moat could strengthen in the B2B segment thanks to interoperability between the enterprise communication platform used by businesses - WeCom (a product powered by the proprietary AI model) and WeChat customers, and the resulting need for businesses to use Tencent's cloud platform.

Management has navigated epochal transitions (from desktop to mobile) and regulatory shocks (like the license block) demonstrating great pragmatism. The ability to redirect business away from non-profitable activities (such as loss-making IaaS cloud contracts) demonstrates management's intense focus on capital return.

In terms of future business opportunities, artificial intelligence is not solely a capital expenditure item, but a revenue catalyst. Training and integrating the proprietary AI model Hunyuan is absorbing material Capex similar to Western peers, aimed at structurally increasing internal productivity and the Click-Through Rate of the advertising platform. Confirming this, the Marketing segment is recording rapid growth (averaging +20% over the last two years) and the engine of this expansion is AI infrastructure applied to targeting and automated solutions, which have increased Return on Investment (ROI) for advertisers. Growth potential is further protected by an ad-load on Video Accounts kept artificially low to favor growth and preserve user experience. Even in a potential scenario of deflation on unit pricing due to consumer weakness, nominal growth is expected to be driven by the expansion of high-conversion inventory.

The domestic B2C market is mature, but options for high-ROIC reinvestment remain open driven by the prospect of growth in Chinese per capita income and, therefore, ARPU elevation.

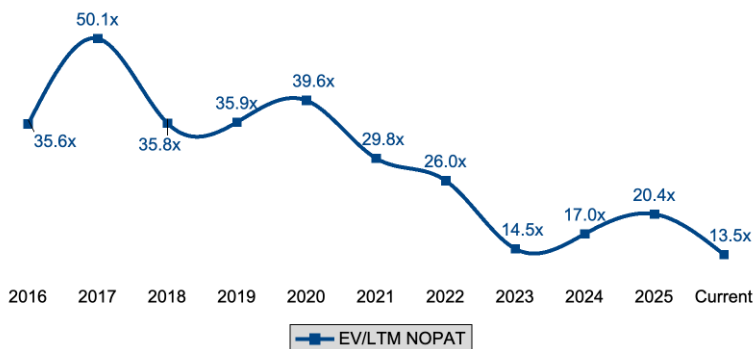
International Gaming (brand "Level Infinite") can benefit from a large and geographically diversified TAM that allows for projected revenue growth. In general, the Gaming segment will benefit from the new technology advancements. Artificial intelligence is integrated to accelerate the creation of graphic assets and improve engagement via advanced bots, lowering the maintenance costs of evergreen titles.

Finally, in terms of capital allocation and buy-back policy, it is fundamental to note what was declared by James Gordon Mitchell during the call with analysts on first quarter 2026 results: *"...we do have a very cash-generative business, as you can see from the first quarter results. We also have a very substantial investment portfolio, and we're accelerating the process of liquidizing some of that investment portfolio and that will enable us to sustain buy-backs going through the rest of this year. And at this point in time, we believe our share price is somewhat dislocated. And therefore, it's an opportune time for buybacks, a particularly opportune time for buybacks..."*

Valuation and return expectations

There appears to be a wide margin of safety. Deducting the carrying value of the investment portfolio from the market capitalization, the market values Core Enterprise Value at roughly 13x-14x LTM net operating income.

EV/LTM NOPAT evolution



The recent sell-off and de-rating of the stock discounts a rather negative scenario for a business that has significantly improved its fundamentals and has always been an excellent capital allocator.

Tencent offers a 7% current yield. If associated with organic earnings growth that can realistically be seen in high single digit / low double digit (8-12%) - driven by the expansion of Video Accounts capable of increasing ad load, Mini-Games, and AI efficiencies, the sustainable long-term expected return rate can be plausibly set in the mid-to-high teens (15%+ annual), without requiring multiple expansion.

Investment rationale

An investment in Tencent today represents adding to the portfolio one of the most powerful cash generation engines in the world at a time of high risk perception for "China" labeled investments.

The recent price collapse is not supported by a deterioration of the business model.

For an investor with a long-term horizon looking for a compounder, this asymmetry between the exceptional quality of corporate governance, margin expansion, capital allocation efficiency, and a modest multiple constitutes a tangible opportunity and a strong entry rationale.

Appendix

INCOME STATEMENT	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025
Revenue	151.9	237.8	312.7	377.3	482.1	560.1	554.6	609.0	660.3	751.8
YoY % change		56.5%	31.5%	20.7%	27.8%	16.2%	-1.0%	9.8%	8.4%	13.9%
Gross Profit	84.5	116.9	142.1	167.6	221.6	245.9	238.9	293.1	349.3	422.9
Margin %	55.6%	49.2%	45.5%	44.4%	46.0%	43.9%	43.1%	48.1%	52.9%	56.3%
EBITDA	63.5	97.5	112.5	142.1	176.2	181.5	172.1	222.0	264.2	311.7
Margin %	41.8%	41.0%	36.0%	37.7%	36.5%	32.4%	31.0%	36.4%	40.0%	41.5%
(D&A)	(12.7)	(23.6)	(34.2)	(44.7)	(50.8)	(57.7)	(61.2)	(59.0)	(56.2)	(66.0)
EBIT	50.8	73.9	78.3	97.4	125.4	123.9	110.9	163.0	208.0	245.6
EBIT %	33.4%	31.1%	25.0%	25.8%	26.0%	22.1%	20.0%	26.8%	31.5%	32.7%
EPS	4.3	7.5	8.2	9.6	16.5	23.2	19.3	11.9	20.5	24.2
YoY % change		73.2%	9.7%	17.1%	71.4%	40.2%	-16.5%	-38.5%	72.3%	17.9%
WA diluted outstanding shares (bn)	9.5	9.5	9.6	9.6	9.7	9.7	9.7	9.6	9.4	9.2
YoY % change		0.4%	0.3%	0.4%	0.5%	0.5%	0.0%	-0.9%	-2.1%	-1.7%
BALANCE SHEET	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025
Tangible Assets	18.6	26.8	40.0	61.6	77.7	88.3	85.7	87.3	110.2	176.9
Goodwill	22.9	23.6	32.6	93.5	108.6	112.2	116.7	126.2	142.1	153.8
Other Intangibles	18.7	21.8	31.2	51.0	66.9	76.9	63.1	68.7	77.1	74.5
Fixed Assets	60.2	72.1	103.7	206.1	253.2	277.4	265.6	282.2	329.4	405.3
Inventory	0.3	0.3	0.3	0.7	0.8	1.1	2.3	0.5	0.4	0.5
Receivables	10.2	16.5	28.4	35.8	45.0	49.3	45.5	46.6	48.2	49.9
Other assets	32.9	44.8	59.1	72.5	89.4	234.1	294.6	150.3	182.2	177.9
(Payables)	(27.4)	(50.1)	(73.7)	(80.7)	(94.0)	(109.5)	(92.4)	(100.9)	(118.7)	(121.1)
(Other liabilities)	(72.7)	(95.6)	(114.3)	(151.5)	(197.0)	(302.4)	(343.7)	(231.4)	(250.3)	(270.4)
Net Working Capital	(56.8)	(84.1)	(100.2)	(123.1)	(155.8)	(127.4)	(93.7)	(135.0)	(138.2)	(163.2)
LT investments	170.1	278.5	364.7	451.4	716.0	786.4	679.4	718.6	882.4	982.8
Net Invested Capital	173.5	266.6	368.3	534.4	813.4	936.4	851.2	865.8	1,073.6	1,224.9
(Cash and ST Investments)	(122.2)	(142.4)	(167.2)	(187.4)	(229.0)	(264.1)	(290.8)	(379.2)	(338.4)	(422.6)
Debt	109.5	131.9	179.3	221.3	250.4	301.9	334.4	348.6	338.6	387.7
Capital Leases	0.0	0.0	0.0	11.7	14.0	21.9	24.8	22.6	19.5	18.7
Net Debt	(12.7)	(10.5)	12.0	45.6	35.4	59.7	68.4	(7.9)	19.7	(16.2)
Group Equity	174.6	256.1	323.5	432.7	704.0	806.3	721.4	808.6	973.5	1,154.2
Minorities	11.6	21.0	32.7	56.1	74.1	70.4	61.5	65.1	80.3	86.9
Equity	186.2	277.1	356.2	488.8	778.0	876.7	782.9	873.7	1,053.9	1,241.1
Sources of financing	173.5	266.6	368.3	534.4	813.4	936.4	851.2	865.8	1,073.6	1,224.9
CASH FLOW		2017	2018	2019	2020	2021	2022	2023	2024	2025
EBIT		73.9	78.3	97.4	125.4	123.9	110.9	163.0	208.0	245.6
D&A		23.6	34.2	44.7	50.8	57.7	61.2	59.0	56.2	66.0
EBITDA		97.5	112.5	142.1	176.2	181.5	172.1	222.0	264.2	311.7
+/- change in Net Working Capital		27.3	16.1	22.9	32.7	(28.4)	(33.7)	41.3	3.2	25.0
Operating Cash Flow		124.8	128.7	165.0	208.9	153.1	138.4	263.3	267.3	336.6
(Share-based compensation)		(6.1)	(7.9)	(10.1)	(12.6)	(21.6)	(24.9)	(21.1)	(20.7)	(25.7)
Adjusted Operating Cash Flow		118.7	120.8	154.9	196.2	131.5	113.5	242.2	246.6	311.0
(Capex)		(18.1)	(32.0)	(54.2)	(57.0)	(66.6)	(62.0)	(50.4)	(47.1)	(95.8)
(Cash Acquisitions)		(0.0)	(3.2)	(0.4)	(15.1)	(21.9)	(12.3)	(7.6)	(7.8)	(11.6)
Adjusted Free Cash Flow		100.5	85.6	100.2	124.2	42.9	39.2	184.1	191.7	203.5
Net Repurchase of Common Stock		(2.1)	(2.2)	(2.2)	(0.1)	(4.0)	(31.2)	(47.3)	(103.9)	(76.4)
Dividends		(5.1)	(6.8)	(8.3)	(10.3)	(12.5)	(13.0)	(21.0)	(28.9)	(37.5)
Capital returned to shareholders		(7.1)	(9.0)	(10.5)	(10.5)	(16.5)	(44.1)	(68.3)	(132.8)	(113.9)
% of FCF allocated		7.1%	10.5%	10.5%	8.4%	38.3%	112.5%	37.1%	69.3%	56.0%
Capex intensity		7.6%	10.2%	14.4%	11.8%	11.9%	11.2%	8.3%	7.1%	12.7%

CAPITALIZATION	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	Current
Market Price (HKD) – EoP	189.7	406.0	314.0	375.6	564.0	456.8	334.0	293.6	417.0	599.0	435.0
Exchange Rate (HKD/RMB)	0.898	0.834	0.852	0.873	0.841	0.815	0.883	0.905	0.922	0.888	0.888
WA diluted outstanding shares (bn)	9.5	9.5	9.6	9.6	9.7	9.7	9.7	9.6	9.4	9.2	9.2
Market Capitalization (RMBbn)	1,617.3	3,228.9	2,559.7	3,148.8	4,577.2	3,609.7	2,859.3	2,553.5	3,617.1	4,917.0	3,570.8
Minorities	11.6	21.0	32.7	56.1	74.1	70.4	61.5	65.1	80.3	86.9	86.9
Net Debt	(12.7)	(10.5)	12.0	45.6	35.4	59.7	68.4	(7.9)	19.7	(16.2)	(16.2)
Enterprise Value	1,616.2	3,239.4	2,604.4	3,250.6	4,686.7	3,739.9	2,989.1	2,610.6	3,717.2	4,987.8	3,641.5
(LT Investments)	(170.1)	(278.5)	(364.7)	(451.4)	(716.0)	(786.4)	(679.4)	(718.6)	(882.4)	(982.8)	(982.8)
Core Enterprise Value	1,446.1	2,960.9	2,239.7	2,799.1	3,970.7	2,953.5	2,309.8	1,892.0	2,834.8	4,004.9	2,658.7
MULTIPLES	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	Current
EV/LTM EBIT	28.5x	40.1x	28.6x	28.7x	31.7x	23.8x	20.8x	11.6x	13.6x	16.3x	10.8x
EV/LTM NOPAT	35.6x	50.1x	35.8x	35.9x	39.6x	29.8x	26.0x	14.5x	17.0x	20.4x	13.5x
Growth NOPAT YoY		45.6%	5.9%	24.4%	28.7%	-1.2%	-10.5%	47.0%	27.6%	18.1%	18.1%



I do not hold a position with the issuer such as employment, directorship, or consultancy.

I and/or others I advise hold a material investment in the issuer's securities.

Catalyst

Video Accounts expansion and ad-load monetization.

AI acceleration and ROI: the integration of the proprietary Hunyuan model to refine targeting and automated solutions could transform capital expenditures into a direct catalyst for revenue and operational efficiency.

Robust operating cash flow generation, combined with the accelerated liquidation of a portion of the substantial investment portfolio (as highlighted by the management), would provide the Company with the resources to sustain share buyback programs amid current market dislocation.

Improvement in domestic demand and consumer sentiment can drive institutional capital re-entry into Chinese equities.

Messages

No messages